

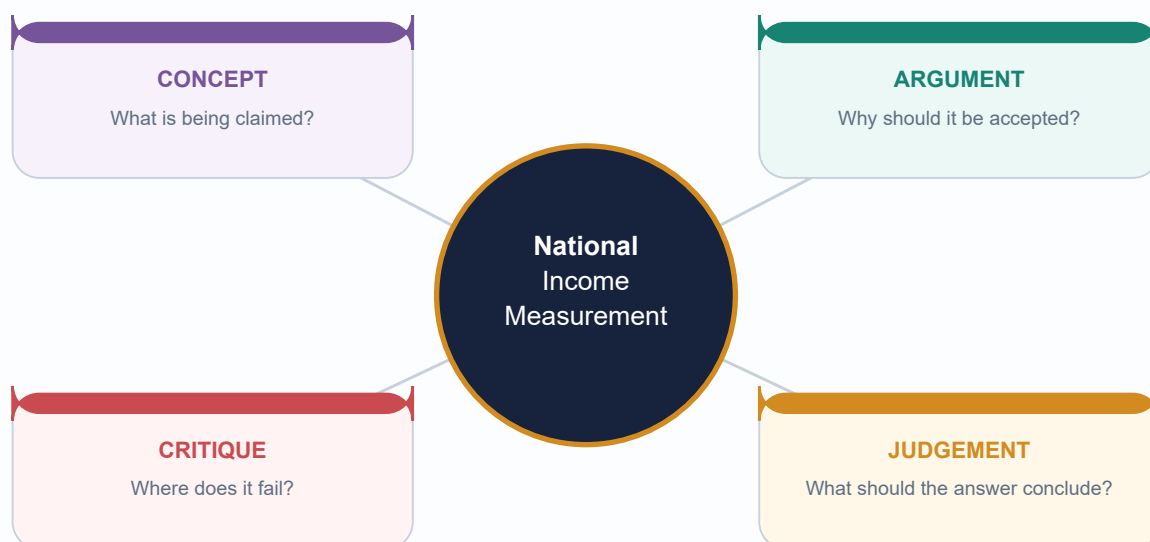
UPSC ECONOMY TOPIC PACKAGE

National Income: GDP, GVA, GNP, NDP and Measurement Complete Topic Package

Subject: Economy | Paper: GS-III

Sources: 01_National-Income-GDP-GVA-and-Measurement.md +
01_National-Income-GDP-GVA-and-Measurement.md

Practice is derived from explicit chapter traps, not generic placeholder questions



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

Foundation · Core Foundation

GS-III Economy

INTRO & ORIGIN

Subject: Economy | **Tier:** Must-Do (foundation) | **GS Paper:** GS-III + Prelims.

Foundation learning layer: concepts → constitutional detail → UPSC application.

CORE FOUNDATION: RECALL MAP

Core Foundation

V

Dimension 1 Subject: Economy Tier: Must-Do (foundation) GS Paper: GS-III + Prelims.	Dimension 2 Grounded in: Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1.
Dimension 3 □ = source-grounded □□ = analytical linkage □ = current Survey hook.	Dimension 4 Companion: ../advanced/01National-Income-GDP-GVA-and-Measurement.md.

STATIC THEORY

- **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1.
- □ = source-grounded | □□ = analytical linkage | □ = current Survey hook.
- *Companion: ../advanced/01_National-Income-GDP-GVA-and-Measurement.md.*

MUST-KNOW FACTS

1. = source-grounded | □□ = analytical linkage | □ = current Survey hook.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Core Foundation

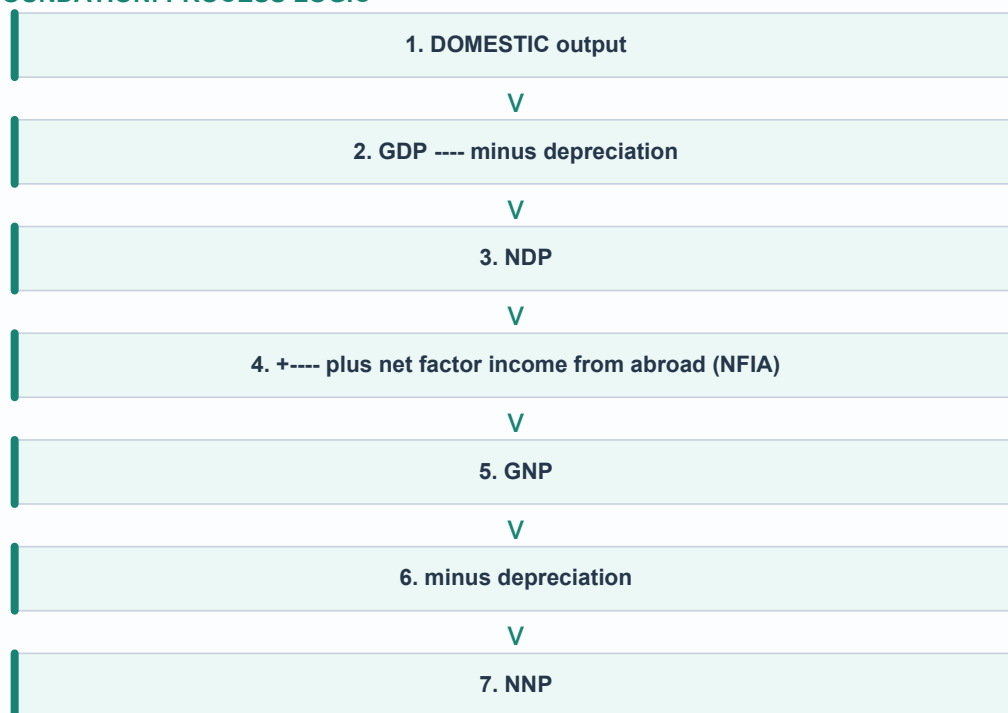
HIGH

Foundation · Visual foundation · Visual 1

GS-III Economy

INTRO & ORIGIN

Visual-first reconstruction of the source logic.

VISUAL FOUNDATION: PROCESS LOGIC**MAINS ANGLE****STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Visual foundation

HIGH**Foundation · Visual foundation****GS-III** Economy**INTRO & ORIGIN**

Core rule: domestic concepts follow the location of production; national concepts follow the income of normal residents.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Visual foundation

HIGH**Foundation · Essential definitions****GS-III** Economy**INTRO & ORIGIN**

Structured comparison from the foundation source layer.

KEY DATA

Measure	Definition	Formula
□ GDP	Final goods and services produced within domestic territory during a period	$C + I + G + (X - M)$
□ GVA	Value of output minus intermediate consumption	Sum of producer value added
□ NDP	Net domestic output after capital consumption	GDP - depreciation
□ GNP	GDP adjusted for net factor income from abroad	GDP + NFIA
□ NNP	Net national product	GNP - depreciation
□ Per-capita income	Average income per person	National income / population

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Essential definitions

HIGH

Foundation · Essential definitions

GS-III Economy

INTRO & ORIGIN

□ **Mnemonic:** **D = Domestic territory; N = Net of depreciation; National =

Foundation learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- residents.**

MEMORY HOOK

Mnemonic: **D = Domestic territory; N = Net of depreciation; National =

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Essential definitions

HIGH

Foundation · GDP and GVA · Visual 1

GS-III Economy

INTRO & ORIGIN

Visual-first reconstruction of the source logic.

GDP AND GVA: PROCESS LOGIC**MAINS ANGLE****STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → GDP and GVA

HIGH**Foundation · GDP and GVA****GS-III Economy****INTRO & ORIGIN**

- GVA shows the contribution of producers and sectors.

Foundation learning layer: concepts → constitutional detail → UPSC application.

GDP AND GVA: RECALL MAP**GDP and GVA**

V

Dimension 1

- GVA shows the contribution of producers and sectors.

Dimension 2

- GDP at market prices shows the value paid by final purchasers.

Dimension 3

- GDP and GVA growth can differ when net product taxes change sharply.

STATIC THEORY

- □ GDP at market prices shows the value paid by final purchasers.
- □□ GDP and GVA growth can differ when net product taxes change sharply.

MUST-KNOW FACTS

1. GVA shows the contribution of producers and sectors.
2. GDP at market prices shows the value paid by final purchasers.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → GDP and GVA

HIGH

Foundation · Three methods of measurement

GS-III Economy

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Method	Adds	Main caution
Production/value-added	Value added at every production stage	Avoid double counting
Income	Wages, profits, rent and mixed income	Capture informal activity
Expenditure	Consumption, investment, government demand and net exports	Exclude intermediate purchases

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Three methods of measurement

HIGH

Foundation · Three methods of measurement

GS-III Economy

INTRO & ORIGIN

The three approaches should theoretically converge because one person's expenditure becomes another person's income and corresponds to produced output.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Three methods of measurement

HIGH

Foundation · Nominal and real GDP

GS-III Economy

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Measure	Prices used	Best use
Nominal GDP	Current-year prices	Size of the economy, debt/tax ratios
Real GDP	Constant/base-year prices	Volume growth over time
GDP deflator	Ratio of nominal to real GDP	Broad domestic price movement

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Nominal and real GDP

HIGH

Foundation · Nominal and real GDP

GS-III Economy

INTRO & ORIGIN

GDP deflator = (Nominal GDP / Real GDP) x 100

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Nominal and real GDP

HIGH

Foundation · What is included and excluded?

GS-III Economy

INTRO & ORIGIN

Exam-ready treatment of What is included and excluded?.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → What is included and excluded?

HIGH

Foundation · Included

GS-III Economy

INTRO & ORIGIN

□ Final goods and services produced during the accounting period.

Foundation learning layer: concepts → constitutional detail → UPSC application.

INCLUDED: RECALL MAP

Included

V

Dimension 1

□ Final goods and services produced during the accounting period.

Dimension 2

□ Imputed values used under national-accounting rules, where applicable.

Dimension 3

□ Government services valued mainly through production costs.

STATIC THEORY

- □ Imputed values used under national-accounting rules, where applicable.
- □ Government services valued mainly through production costs.

MUST-KNOW FACTS

1. Final goods and services produced during the accounting period.
2. Imputed values used under national-accounting rules, where applicable.
3. Government services valued mainly through production costs.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Included

HIGH**Foundation · Excluded****GS-III Economy****INTRO & ORIGIN**

- Intermediate goods when their value is already embedded in final output.

Foundation learning layer: concepts → constitutional detail → UPSC application.

EXCLUDED: RECALL MAP**Excluded**

V

Dimension 1

- Intermediate goods when their value is already embedded in final output.

Dimension 2

- Pure transfer payments because no current good/service is produced in return.

Dimension 3

- Sale of an existing asset; only current brokerage or service value is added.

Dimension 4

- Unpaid household work that lies outside the conventional production boundary.

STATIC THEORY

- □ Pure transfer payments because no current good/service is produced in return.
- □ Sale of an existing asset; only current brokerage or service value is added.
- □ Unpaid household work that lies outside the conventional production boundary.

MUST-KNOW FACTS

1. Intermediate goods when their value is already embedded in final output.
2. Pure transfer payments because no current good/service is produced in return.
3. Sale of an existing asset; only current brokerage or service value is added.
4. Unpaid household work that lies outside the conventional production boundary.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Excluded

HIGH

Foundation · Must-Know Facts for Prelims

GS-III Economy

INTRO & ORIGIN

- Gross measures include depreciation; net measures deduct it.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS FOR PRELIMS: RECALL MAP

Must-Know Facts for Prelims

V

Dimension 1 □ Gross measures include depreciation; net measures deduct it.	Dimension 2 □ GDP can exceed GNP when NFIA is negative.
Dimension 3 □ GDP is territorial; GNP is resident-income based.	Dimension 4 □ Real GDP removes price effects; nominal GDP does not.

STATIC THEORY

- □ GDP can exceed GNP when NFIA is negative.
- □ GDP is territorial; GNP is resident-income based.
- □ Real GDP removes price effects; nominal GDP does not.
- □ GVA is not GDP: net product taxes connect the two.
- □ Imports are subtracted because consumption/investment totals may include
- foreign production.

MUST-KNOW FACTS

1. Gross measures include depreciation; net measures deduct it.
2. GDP can exceed GNP when NFIA is negative.
3. GDP is territorial; GNP is resident-income based.
4. Real GDP removes price effects; nominal GDP does not.
5. GVA is not GDP: net product taxes connect the two.
6. Imports are subtracted because consumption/investment totals may include

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Must-Know Facts for Prelims

HIGH

Foundation · UPSC traps

GS-III Economy

INTRO & ORIGIN

unpaid work, ecological loss or all aspects of well-being.

Foundation learning layer: concepts → constitutional detail → UPSC application.

UPSC TRAPS

WRONG: Every market transaction raises current GDP.

CORRECT: Resale of an old asset does not.

WRONG: A pension payment directly adds to GDP.

CORRECT: It is a transfer payment.

WRONG: Higher nominal GDP always means more output.

CORRECT: It may reflect inflation.

WRONG: GDP measures national welfare.

CORRECT: It measures production, not distribution,

WRONG: GNP must always exceed GDP.

CORRECT: It depends on the sign of NFIA.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → UPSC traps

HIGH

Foundation · □ Economic Survey 2025-26 anchor

GS-III Economy

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Indicator	Survey figure
□ Real GDP growth, FY26 First Advance Estimate	7.4%
□ Real GVA growth, FY26 First Advance Estimate	7.3%
□ PFCE share in GDP, FY26	61.5%
□ Services growth, FY26 FAE	9.1%
□ FY27 real GDP projection	6.8-7.2%

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → □ Economic Survey 2025-26 anchor

HIGH

Foundation · □ Economic Survey 2025-26 anchor

GS-III Economy

INTRO & ORIGIN

□□ **Interpretation:** consumption remains the largest demand component, while the GDP-GVA difference reflects net product taxes. Always quote the period with the figure.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → □ Economic Survey 2025-26 anchor

HIGH

Foundation · □ National-accounts series update — 27 February 2026

GS-III Economy

INTRO & ORIGIN

□ MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12,

Foundation learning layer: concepts → constitutional detail → UPSC application.

□ NATIONAL-ACCOUNTS SERIES UPDATE — 27 FEBRUARY 2026: RECALL MAP

□ National-accounts series update — 27 February 2026

V

Dimension 1 □ MoSPI released a new GDP series with base year 2022-23, replacing 2011-12,	Dimension 2 with revised coverage, data sources and methods.
Dimension 3 □ The release provides annual and quarterly estimates from 2022-23; the	Dimension 4 comparable back-series was still pending at the 19 July 2026 cutoff.

STATIC THEORY

- with revised coverage, data sources and methods.
- □ The release provides annual and quarterly estimates from 2022-23; the
- comparable back-series was still pending at the 19 July 2026 cutoff.
- □□ The FY26 FAE figures above are Survey-period estimates. Always identify the
- **series, estimate vintage and period** before comparing them with the new series.
- Source: MoSPI press note, 27 February 2026.

MUST-KNOW FACTS

1. MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12,
2. The release provides annual and quarterly estimates from 2022-23; the

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → [National-accounts series update](#) — 27 February 2026

HIGH**Foundation · PYQ status****GS-III** Economy**INTRO & ORIGIN**

Exam-ready treatment of PYQ status.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

□□ No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; use the distinctions above for adjacent sector, growth and deficit questions. See the exact routing table in ../README.md.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → PYQ status

HIGH**Foundation · Mains angles****GS-III** Economy**INTRO & ORIGIN**

Exam-ready treatment of Mains angles.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

□□ Why GDP growth is necessary but insufficient for development. □□ How base-year and methodology revisions improve measurement but can disrupt comparison with older series. □□ Why India needs GDP/GVA data alongside employment, inequality, human development and environmental indicators. **Answer thesis:** GDP measures the value of domestic production; a sound growth assessment must then separate prices from volumes, GDP from GVA, and aggregate output from distribution, jobs and ecological sustainability.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Mains angles

HIGH

Foundation · Probable questions

GS-III Economy

INTRO & ORIGIN

□ □ Prelims: Which adjustment converts GDP at market prices into GVA at basic

Foundation learning layer: concepts → constitutional detail → UPSC application.

PROBABLE QUESTIONS: RECALL MAP

Probable questions

V

Dimension 1 □ □ Prelims: Which adjustment converts GDP at market prices into GVA at basic	Dimension 2 prices, and which adjustment converts gross into net output?
Dimension 3 □ □ Mains (10 marks): Why can GDP and GVA tell different but complementary	Dimension 4 stories about the same year's growth?

STATIC THEORY

- prices, and which adjustment converts gross into net output?
- □ □ Mains (10 marks): Why can GDP and GVA tell different but complementary
- stories about the same year's growth?
- □ □ Mains (15 marks): Explain why a change of national-accounts base year
- improves relevance but demands careful treatment of historical comparisons.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Probable questions

HIGH

Foundation · Study links

GS-III Economy

INTRO & ORIGIN

□ Advanced companion: ../advanced/01_National-Income-GDP-GVA-and-Measurement.md.

Foundation learning layer: concepts → constitutional detail → UPSC application.

STUDY LINKS: RECALL MAP

Study links

V

Dimension 1 □ Advanced companion: ../advanced/01National-Income-GDP-GVA-and-Measurement.md.	Dimension 2 □ 02Growth-Development-HDI-IHDI-and-MPI.md — output versus welfare.
Dimension 3 □ 03Inflation-Price-Indices-and-Business-Cycles.md — deflators and price	Dimension 4 measurement.

STATIC THEORY

- □ 02_Growth-Development-HDI-IHDI-and-MPI.md — output versus welfare.
- □ 03_Inflation-Price-Indices-and-Business-Cycles.md — deflators and price measurement.
- □ 26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md — estimate vintage and macro interpretation.

MUST-KNOW FACTS

1. Advanced companion: ../advanced/01_National-Income-GDP-GVA-and-Measurement.md.
2. 02_Growth-Development-HDI-IHDI-and-MPI.md — output versus welfare.
3. 03_Inflation-Price-Indices-and-Business-Cycles.md — deflators and price measurement.
4. 26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md — estimate vintage and macro interpretation.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Study links

HIGH

Advanced · Core Foundation

GS-III Economy

INTRO & ORIGIN

Subject: Economy | **Tier:** Advanced | **GS Paper:** GS-III + Prelims.

Advanced learning layer: concepts → constitutional detail → UPSC application.

CORE FOUNDATION: RECALL MAP

Core Foundation

V

Dimension 1 Subject: Economy Tier: Advanced GS Paper: GS-III + Prelims.	Dimension 2 Grounded in: Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1;
Dimension 3 System of National Accounts concepts used in India's national accounting.	Dimension 4 □ = source-grounded □□ = analytical linkage □ = current Survey hook.

STATIC THEORY

- **Grounded in:** Ramesh Singh, Ch. 1; Economic Survey 2025-26, Ch. 1;
- System of National Accounts concepts used in India's national accounting.
- □ = source-grounded | □□ = analytical linkage | □ = current Survey hook.
- *Companion:* ../basic/01_National-Income-GDP-GVA-and-Measurement.md.

MUST-KNOW FACTS

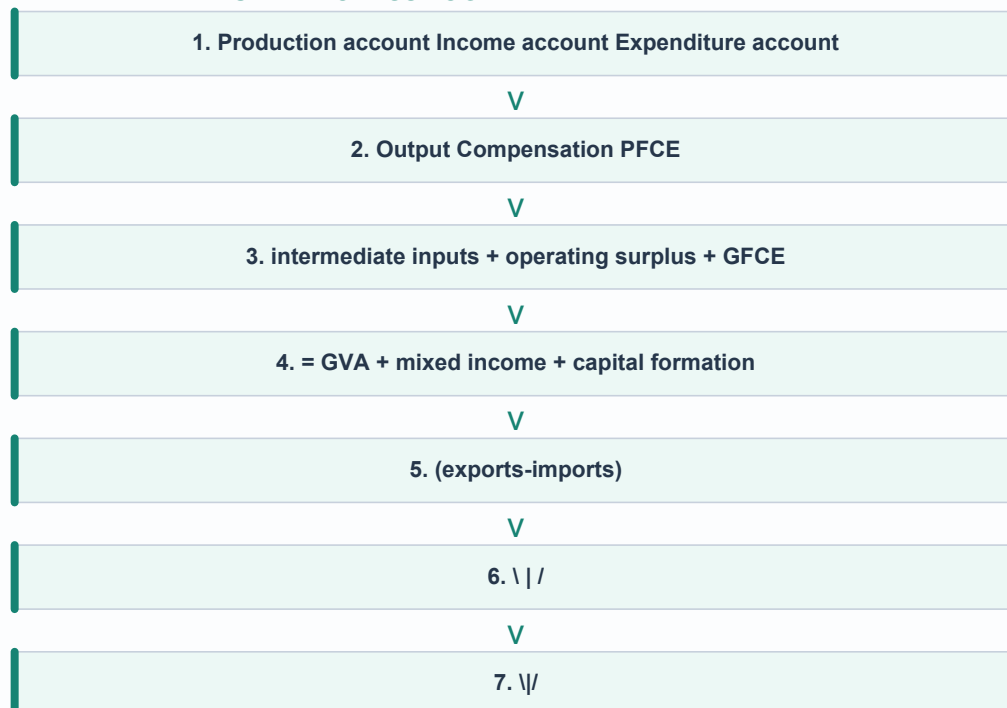
1. = source-grounded | □□ = analytical linkage | □ = current Survey hook.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Core Foundation

HIGH**Advanced · Measurement Architecture · Visual 1****GS-III** Economy**INTRO & ORIGIN**

Visual-first reconstruction of the source logic.

MEASUREMENT ARCHITECTURE: PROCESS LOGIC**MAINS ANGLE****STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Measurement Architecture

HIGH**Advanced · Measurement Architecture****GS-III** Economy**INTRO & ORIGIN**

Statistical discrepancies arise because the three methods use different data sources, timing and estimation procedures.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Measurement Architecture

HIGH

Advanced · Domestic territory vs normal residence

GS-III Economy

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

Test	Domestic measure	National measure
Governing principle	Location of production	Normal residence of income earner
Main aggregate	GDP/NDP	GNP/NNP
Adjustment	None for cross-border factor income	Add NFIA

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Domestic territory vs normal residence

HIGH

Advanced · Domestic territory vs normal residence

GS-III Economy

INTRO & ORIGIN

NFIA = factor income received from abroad - factor income paid abroad.

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- Remittances that are personal transfers are recorded differently from factor or primary income. Do not treat every inward remittance as NFIA.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Domestic territory vs normal residence

HIGH

Advanced · Gross, net, basic and market prices

GS-III Economy

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

Distinction	Adjustment
Gross → Net	Subtract consumption of fixed capital/depreciation
GVA at basic prices → GDP at market prices	Add product taxes; subtract product subsidies
Nominal → Real	Deflate with appropriate price indices/base-year prices

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Gross, net, basic and market prices

HIGH**Advanced · Gross, net, basic and market prices****GS-III** Economy**INTRO & ORIGIN**

- **Production taxes/subsidies** relate to production activity.

Advanced learning layer: concepts → constitutional detail → UPSC application.

GROSS, NET, BASIC AND MARKET PRICES: RECALL MAP**Gross, net, basic and market prices**

V

Dimension 1 □ Production taxes/subsidies relate to production activity.	Dimension 2 □ Product taxes/subsidies relate to units of goods/services and bridge GVA
Dimension 3 at basic prices with GDP at market prices.	Dimension 4 □□ A tax cut can narrow GDP growth relative to GVA growth even when underlying

STATIC THEORY

- □ **Product taxes/subsidies** relate to units of goods/services and bridge GVA
- at basic prices with GDP at market prices.
- □□ A tax cut can narrow GDP growth relative to GVA growth even when underlying
- production is unchanged.

MUST-KNOW FACTS

- 1. Production taxes/subsidies** relate to production activity.
- 2. Product taxes/subsidies** relate to units of goods/services and bridge GVA

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Gross, net, basic and market prices

HIGH

Advanced · Expenditure-side components

GS-III Economy

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

Component	Meaning	Analytical use
PFCE	Household/private consumption	Consumption strength
GFCE	Government final consumption	Government current-service demand
GFCF	Fixed capital formation	Investment/capacity creation
Change in stocks	Inventory accumulation or drawdown	Business-cycle signal
Valuables	Acquisitions such as precious assets under SNA treatment	Saving/asset preference
Net exports	Exports minus imports	External contribution to demand

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Expenditure-side components

HIGH

Advanced · Expenditure-side components

GS-III Economy

INTRO & ORIGIN

❑ **Trap:** Government capital expenditure is not the same as GFCE. Capital

Advanced learning layer: concepts → constitutional detail → UPSC application.

EXPENDITURE-SIDE COMPONENTS: RECALL MAP

Expenditure-side components

V

Dimension 1 ❑ Trap: Government capital expenditure is not the same as GFCE. Capital	Dimension 2 expenditure can create assets and enters capital formation; GFCE measures
Dimension 3 government consumption of current services.	

STATIC THEORY

- expenditure can create assets and enters capital formation; GFCE measures
- government consumption of current services.

MEMORY HOOK

Trap: Government capital expenditure is not the same as GFCE. Capital

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Expenditure-side components

HIGH**Advanced · Value added and double counting****GS-III** Economy**INTRO & ORIGIN**

Structured comparison from the advanced source layer.

KEY DATA

Stage	Sale value	Intermediate input	Value added
Farmer sells wheat	20	0	20
Miller sells flour	35	20	15
Baker sells bread	50	35	15
Total	105		50

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Value added and double counting

HIGH**Advanced · Value added and double counting****GS-III** Economy**INTRO & ORIGIN**

Example:

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- GDP counts the final bread value of 50 or the sum of value added (20+15+15), not all sales of 105.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Value added and double counting

HIGH

Advanced · Real growth, deflation and base-year revision · Part 1

GS-III Economy

INTRO & ORIGIN

- Constant-price estimates separate output-volume change from price change.

Advanced learning layer: concepts → constitutional detail → UPSC application.

REAL GROWTH, DEFLATION AND BASE-YEAR REVISION: RECALL MAP

Real growth, deflation and base-year revision

V

Dimension 1 □ Constant-price estimates separate output-volume change from price change.	Dimension 2 □ Different sectors require suitable deflators; one economy-wide price index
Dimension 3 cannot perfectly represent every activity.	Dimension 4 □ Base-year revision updates prices, weights, databases, classifications and

STATIC THEORY

- □ Different sectors require suitable deflators; one economy-wide price index
- cannot perfectly represent every activity.
- □ Base-year revision updates prices, weights, databases, classifications and
- coverage as the economy changes.
- □ □ A new series can alter levels and growth rates because both the base and
- methodology change; this does not automatically imply manipulation.

MUST-KNOW FACTS

1. Constant-price estimates separate output-volume change from price change.
2. Different sectors require suitable deflators; one economy-wide price index
3. Base-year revision updates prices, weights, databases, classifications and

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Real growth, deflation and base-year revision

HIGH

Advanced · Real growth, deflation and base-year revision · Part 2

GS-III Economy

INTRO & ORIGIN

□□ Informal-sector estimation, rapidly changing digital services and quality

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- improvements remain difficult measurement areas.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Real growth, deflation and base-year revision

HIGH

Advanced · GDP deflator vs CPI/WPI

GS-III Economy

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

Index	Coverage	Imports	Weights
GDP deflator	Domestically produced final output	Excluded as foreign output	Current composition
CPI	Household consumption basket	Can include imported consumer goods	Fixed/revised basket
WPI	Mainly wholesale goods	Includes relevant traded goods	Fixed/revised basket

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → GDP deflator vs CPI/WPI

HIGH

Advanced · GDP deflator vs CPI/WPI

GS-III Economy

INTRO & ORIGIN

The GDP deflator is broader than CPI in domestic output coverage but is not a cost-of-living index.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → GDP deflator vs CPI/WPI

HIGH

Advanced · Limits of GDP as a welfare measure · Visual 1

GS-III Economy

INTRO & ORIGIN

Visual-first reconstruction of the source logic.

LIMITS OF GDP AS A WELFARE MEASURE: PROCESS LOGIC



MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Limits of GDP as a welfare measure

HIGH

Advanced · Limits of GDP as a welfare measure

GS-III Economy

INTRO & ORIGIN

□□ Per-capita GDP corrects for population size but not inequality.

Advanced learning layer: concepts → constitutional detail → UPSC application.

LIMITS OF GDP AS A WELFARE MEASURE: RECALL MAP

Limits of GDP as a welfare measure

V

Dimension 1 □□ Per-capita GDP corrects for population size but not inequality.	Dimension 2 □□ Disaster reconstruction can add to GDP although the original welfare loss
Dimension 3 is not subtracted fully.	Dimension 4 □□ Resource depletion may raise current output while reducing future wealth.

STATIC THEORY

- ☐☐ Disaster reconstruction can add to GDP although the original welfare loss
- is not subtracted fully.
- ☐☐ Resource depletion may raise current output while reducing future wealth.
- ☐☐ HDI, IHDI, MPI, employment and environmental accounts complement GDP; they
- do not replace the need to measure production.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Limits of GDP as a welfare measure

HIGH**Advanced · Advanced Prelims traps****GS-III** Economy**INTRO & ORIGIN**

added when moving to GDP at market prices.

Advanced learning layer: concepts → constitutional detail → UPSC application.

ADVANCED PRELIMS TRAPS: RECALL MAP**Advanced Prelims traps****V**

Dimension 1 added when moving to GDP at market prices.	Dimension 2 accumulation or unsold stock.
Dimension 3 estimate of fixed-capital consumption.	

STATIC THEORY

- accumulation or unsold stock.
- estimate of fixed-capital consumption.

UPSC TRAPS

WRONG: NFIA equals all remittances.

CORRECT: Personal transfers and primary income differ.

WRONG: GVA at basic prices already includes product taxes.

CORRECT: Product taxes are

WRONG: GDP deflator includes imported production.

CORRECT: It covers domestic output.

WRONG: A rise in inventories always means healthy demand.

CORRECT: It may be intended

WRONG: Depreciation is a cash payment made during the year.

CORRECT: It is an accounting

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Advanced Prelims traps

HIGH**Advanced · ☐ Survey-based analytical reading**

GS-III Economy

INTRO & ORIGIN

☐ The Economic Survey 2025-26 reports FY26 FAE growth of **7.4% for real GDP** and **7.3% for real GVA**, with PFCE at **61.5% of GDP**.

Advanced learning layer: concepts → constitutional detail → UPSC application.

☐ **SURVEY-BASED ANALYTICAL READING: RECALL MAP**☐ **Survey-based analytical reading**

V

Dimension 1 ☐ The Economic Survey 2025-26 reports FY26 FAE growth of 7.4% for real GDP and 7.3% for real GVA, with PFCE at 61.5% of GDP.	Dimension 2 ☐ Use these figures in three steps:
Dimension 3 State the period and estimate type: FY26, First Advance Estimate.	Dimension 4 Identify the driver: strong private consumption and services.

STATIC THEORY

- ☐ Use these figures in three steps:
- **State the period and estimate type:** FY26, First Advance Estimate.
- **Identify the driver:** strong private consumption and services.
- **Add the caveat:** advance estimates are revised as fuller data arrive.

MUST-KNOW FACTS

1. The Economic Survey 2025-26 reports FY26 FAE growth of **7.4% for real GDP** and **7.3% for real GVA**, with PFCE at **61.5% of GDP**.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → ☐ Survey-based analytical reading

HIGH

Advanced · Series-break discipline after 27 February 2026

GS-III Economy

INTRO & ORIGIN

☐ MoSPI's new national-accounts series uses **2022-23 as base year**, replacing

Advanced learning layer: concepts → constitutional detail → UPSC application.

SERIES-BREAK DISCIPLINE AFTER 27 FEBRUARY 2026: RECALL MAP

Series-break discipline after 27 February 2026

V

Dimension 1 ☐ MoSPI's new national-accounts series uses 2022-23 as base year, replacing	Dimension 2 2011-12, and introduces revised sources/coverage/methods.
Dimension 3 ☐ Estimates from 2022-23 onward were released; a comparable back-series was	Dimension 4 not yet available at the 19 July 2026 cutoff.

STATIC THEORY

- 2011-12, and introduces revised sources/coverage/methods.
- ☐ Estimates from 2022-23 onward were released; a comparable back-series was
- not yet available at the 19 July 2026 cutoff.
- ☐ Do not splice growth levels across the two series without the official
- back-series. Label every number by base, estimate vintage and reference period.
- Source: MoSPI press note.

MUST-KNOW FACTS

1. MoSPI's new national-accounts series uses **2022-23 as base year**, replacing
2. Estimates from 2022-23 onward were released; a comparable back-series was

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Series-break discipline after 27 February 2026

HIGH**Advanced · Mains-ready frameworks****GS-III** Economy**INTRO & ORIGIN**

Exam-ready treatment of Mains-ready frameworks.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

Central thesis: National accounts measure production through consistent identities, but a credible growth assessment must preserve price, coverage and estimate-vintage distinctions and test output against jobs, distribution and sustainability.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Mains-ready frameworks

HIGH**Advanced · "GDP is necessary but insufficient"****GS-III** Economy**INTRO & ORIGIN**

GDP measures production and fiscal capacity.

Advanced learning layer: concepts → constitutional detail → UPSC application.

"GDP IS NECESSARY BUT INSUFFICIENT": RECALL MAP

"GDP is necessary but insufficient"

V

Dimension 1 GDP measures production and fiscal capacity.	Dimension 2 Per-capita and sectoral GVA reveal scale and structure.
Dimension 3 Employment and distribution determine inclusiveness.	Dimension 4 Human-development indicators capture capabilities.

STATIC THEORY

- Per-capita and sectoral GVA reveal scale and structure.
- Employment and distribution determine inclusiveness.
- Human-development indicators capture capabilities.
- Environmental accounts capture sustainability.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → "GDP is necessary but insufficient"

HIGH**Advanced · "Improving India's national accounts"****GS-III Economy****INTRO & ORIGIN**

More frequent enterprise and household surveys.

Advanced learning layer: concepts → constitutional detail → UPSC application.

"IMPROVING INDIA'S NATIONAL ACCOUNTS": RECALL MAP**"Improving India's national accounts"**

V

Dimension 1 More frequent enterprise and household surveys.	Dimension 2 Better informal-sector and gig/digital-economy measurement.
Dimension 3 Transparent back-series and revision policy.	Dimension 4 Stronger state-level GSDP capacity.

STATIC THEORY

- Better informal-sector and gig/digital-economy measurement.
- Transparent back-series and revision policy.
- Stronger state-level GSDP capacity.
- Satellite accounts for environment, health, care and digital activity.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → "Improving India's national accounts"

HIGH**Advanced · PYQ status****GS-III Economy****INTRO & ORIGIN**

Exam-ready treatment of PYQ status.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

□□ No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; see the exact route audit in ../README.md.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → PYQ status

HIGH

Advanced · Probable questions

GS-III Economy

INTRO & ORIGIN

□ □ **Prelims:** Differentiate GDP, GVA, GNP, NDP, nominal GDP and real GDP.

Advanced learning layer: concepts → constitutional detail → UPSC application.

PROBABLE QUESTIONS: RECALL MAP

Probable questions

V

Dimension 1 □ □ Prelims: Differentiate GDP, GVA, GNP, NDP, nominal GDP and real GDP.	Dimension 2 □ □ Mains: "India's growth debate should move from the rate of GDP growth to
Dimension 3 the composition, employment intensity and sustainability of growth." Discuss.	Dimension 4 □ □ Mains: Explain why revisions in base year and national-accounting

STATIC THEORY

- □ □ **Mains:** "India's growth debate should move from the rate of GDP growth to
- the composition, employment intensity and sustainability of growth." Discuss.
- □ □ **Mains:** Explain why revisions in base year and national-accounting
- methodology are necessary, while examining the challenges they create for comparability and public trust.

MAINS ANGLE

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement → Probable questions

HIGH

Advanced · Study links

GS-III Economy

INTRO & ORIGIN

□ Foundation companion: ../basic/01_National-Income-GDP-GVA-and-Measurement.md.

Advanced learning layer: concepts → constitutional detail → UPSC application.

STUDY LINKS: RECALL MAP

Study links

V

Dimension 1 □ Foundation companion: ../basic/01National-Income-GDP-GVA-and-Measurement.md.	Dimension 2 □ 02Growth-Development-HDI-IHDI-and-MPI.md — welfare complements to output.
Dimension 3 □ 03Inflation-Price-Indices-and-Business-Cycles.md — deflators, CPI and WPI.	Dimension 4 □ 26Economic-Survey-Synthesis-and-Current-Macro-Dashbo ard.md — estimates,

STATIC THEORY

- □ 02_Growth-Development-HDI-IHDI-and-MPI.md — welfare complements to output.
- □ 03_Inflation-Price-Indices-and-Business-Cycles.md — deflators, CPI and WPI.
- □ 26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md — estimates, revisions and macro dashboard use.

MUST-KNOW FACTS

1. Foundation companion: ../basic/01_National-Income-GDP-GVA-and-Measurement.md.
2. 02_Growth-Development-HDI-IHDI-and-MPI.md — welfare complements to output.
3. 03_Inflation-Price-Indices-and-Business-Cycles.md — deflators, CPI and WPI.
4. 26_Economic-Survey-Synthesis-and-Current-Macro-Dashboard.md — estimates,

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Study links

HIGH**Current-Affairs Verification Note****GS-III Economy****INTRO & ORIGIN**

A live February-August 2026 scan was performed. No unverified headline is inserted. The source chapter's dated current anchor is retained where it is already verified.

STATIC THEORY

- Static concepts remain the evidentiary base.
- Current affairs are used only when the conceptual linkage is direct.
- No-current-item is preferable to a fabricated or weakly sourced linkage.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement → Current application

HIGH**Topic-Specific MCQ Loop 1****GS-III Economy****INTRO & ORIGIN**

Each question is generated from an explicit source-chapter trap and explanation.

STATIC THEORY

- Q1. Which statement correctly resolves this common misconception: "Every market transaction raises current GDP."?
- A. Resale of an old asset does not.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. Higher nominal GDP always means more output.
- ANSWER: A - Resale of an old asset does not.
- Q2. Which statement correctly resolves this common misconception: "A pension payment directly adds to GDP."?
- A. A pension payment directly adds to GDP.
- B. It is a transfer payment.
- C. Higher nominal GDP always means more output.
- D. GDP measures national welfare.
- ANSWER: B - It is a transfer payment.
- Q3. Which statement correctly resolves this common misconception: "Higher nominal GDP always means more output."?
- A. Higher nominal GDP always means more output.
- B. GDP measures national welfare.
- C. It may reflect inflation.
- D. GNP must always exceed GDP.
- ANSWER: C - It may reflect inflation.
- Q4. Which statement correctly resolves this common misconception: "GDP measures national welfare."?
- A. GDP measures national welfare.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. It measures production, not distribution,
- ANSWER: D - It measures production, not distribution,

MEMORY HOOK

Resolve the misconception before memorising the fact.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement -> Source-grounded practice

HIGH**Topic-Specific MCQ Loop 2****GS-III Economy****INTRO & ORIGIN**

Each question is generated from an explicit source-chapter trap and explanation.

STATIC THEORY

- Q5. Which statement correctly resolves this common misconception: "GNP must always exceed GDP."?
- A. It depends on the sign of NFIA.
- B. GNP must always exceed GDP.
- C. NFIA equals all remittances.
- D. GVA at basic prices already includes product taxes.
- ANSWER: A - It depends on the sign of NFIA.
- Q6. Which statement correctly resolves this common misconception: "NFIA equals all remittances."?
- A. NFIA equals all remittances.
- B. Personal transfers and primary income differ.
- C. GVA at basic prices already includes product taxes.
- D. GDP deflator includes imported production.
- ANSWER: B - Personal transfers and primary income differ.
- Q7. Which statement correctly resolves this common misconception: "GVA at basic prices already includes product taxes."?
- A. GVA at basic prices already includes product taxes.
- B. GDP deflator includes imported production.
- C. Product taxes are
- D. Every market transaction raises current GDP.
- ANSWER: C - Product taxes are
- Q8. Which statement correctly resolves this common misconception: "GDP deflator includes imported production."?
- A. GDP deflator includes imported production.
- B. Every market transaction raises current GDP.
- C. A pension payment directly adds to GDP.
- D. It covers domestic output.
- ANSWER: D - It covers domestic output.

MEMORY HOOK

Resolve the misconception before memorising the fact.

MAINS ANGLE**STUDY LINK**

National Income: GDP, GVA, GNP, NDP and Measurement -> Source-grounded practice

HIGH**Solved 10-Mark Practice****GS-III Economy****INTRO & ORIGIN**

Explain National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE**1. Concept**

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- □ GVA shows the contribution of producers and sectors.
- □ GDP at market prices shows the value paid by final purchasers.
- □□ GDP and GVA growth can differ when net product taxes change sharply.
- □ Final goods and services produced during the accounting period.
- □ Imputed values used under national-accounting rules, where applicable.
- □ Government services valued mainly through production costs.
- □ Intermediate goods when their value is already embedded in final output.
- □ Pure transfer payments because no current good/service is produced in return.
- □ Sale of an existing asset; only current brokerage or service value is added.
- □ Unpaid household work that lies outside the conventional production boundary.
- □ Gross measures include depreciation; net measures deduct it.
- □ GDP can exceed GNP when NFIA is negative.
- □ GDP is territorial; GNP is resident-income based.
- □ Real GDP removes price effects; nominal GDP does not.
- □ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

These are model content points; arrange them into paragraphs rather than reproducing a list.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 10-mark answer

HIGH**Solved 15-Mark Practice****GS-III Economy****INTRO & ORIGIN**

Analyse National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE**1. Concept**

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.
- ☐ GDP is territorial; GNP is resident-income based.
- ☐ Real GDP removes price effects; nominal GDP does not.
- ☐ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

These are model content points; arrange them into paragraphs rather than reproducing a list.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 15-mark answer

HIGH

Solved 20-Mark Practice

GS-III Economy

INTRO & ORIGIN

Critically examine National Income: GDP, GVA, GNP, NDP and Measurement with reference to its concepts, applications and limitations.

ANSWER ARCHITECTURE

1. Concept

Define the exact scope and terminology.

V

2. Core analysis

Organise the source content into two or three dimensions.

V

3. Evidence

Use the chapter's India-centric examples or chronology.

V

4. Critical layer

Add traps, limitations, counter-view or implementation constraints.

V

5. Judgement

Conclude in direct response to the directive.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.
- ☐ GDP is territorial; GNP is resident-income based.
- ☐ Real GDP removes price effects; nominal GDP does not.
- ☐ GVA is not GDP: net product taxes connect the two.

MAINS ANGLE

These are model content points; arrange them into paragraphs rather than reproducing a list.

STUDY LINK

National Income: GDP, GVA, GNP, NDP and Measurement -> 20-mark answer

HIGH**Final Consolidated Register Notes****GS-III Economy****INTRO & ORIGIN**

Final revision is placed after teaching and solved practice.

TOPIC RECALL MAP

National Income: GDP, GVA, GNP, NDP and Measurement

V

Definition ☐ GVA shows the contribution of producers and sectors.	Mechanism ☐ GDP at market prices shows the value paid by final purchasers.
Application ☐ ☐ GDP and GVA growth can differ when net product taxes change sharply.	Evaluation ☐ Final goods and services produced during the accounting period.

STATIC THEORY

- ☐ GVA shows the contribution of producers and sectors.
- ☐ GDP at market prices shows the value paid by final purchasers.
- ☐ ☐ GDP and GVA growth can differ when net product taxes change sharply.
- ☐ Final goods and services produced during the accounting period.
- ☐ Imputed values used under national-accounting rules, where applicable.
- ☐ Government services valued mainly through production costs.
- ☐ Intermediate goods when their value is already embedded in final output.
- ☐ Pure transfer payments because no current good/service is produced in return.
- ☐ Sale of an existing asset; only current brokerage or service value is added.
- ☐ Unpaid household work that lies outside the conventional production boundary.
- ☐ Gross measures include depreciation; net measures deduct it.
- ☐ GDP can exceed GNP when NFIA is negative.

MEMORY HOOK

Meaning -> mechanism -> evidence -> limitation -> judgement

MUST-KNOW FACTS

1. □ GDP is territorial; GNP is resident-income based.
2. □ Real GDP removes price effects; nominal GDP does not.
3. □ GVA is not GDP: net product taxes connect the two.
4. □ Imports are subtracted because consumption/investment totals may include
5. □ MoSPI released a **new GDP series with base year 2022-23**, replacing 2011-12,
6. □ The release provides annual and quarterly estimates from 2022-23; the

UPSC TRAPS

- WRONG:** Every market transaction raises current GDP.
CORRECT: Resale of an old asset does not.
- WRONG:** A pension payment directly adds to GDP.
CORRECT: It is a transfer payment.
- WRONG:** Higher nominal GDP always means more output.
CORRECT: It may reflect inflation.
- WRONG:** GDP measures national welfare.
CORRECT: It measures production, not distribution,

MAINS ANGLE

Use National Income: GDP, GVA, GNP, NDP and Measurement as an argument, not as an unstructured list of facts.

STUDY LINK

Economy -> National Income: GDP, GVA, GNP, NDP and Measurement

End of Register Notes - UPSC Agent / Copilot CLI